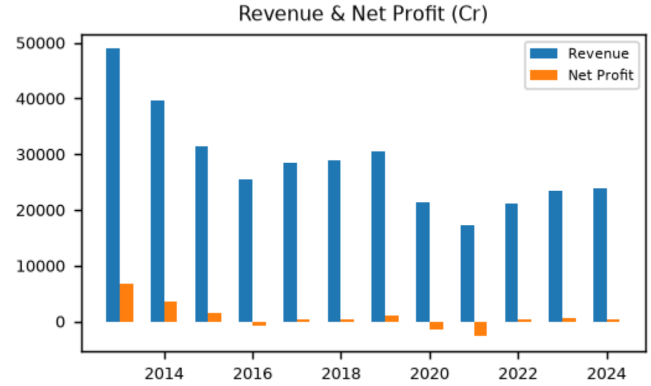
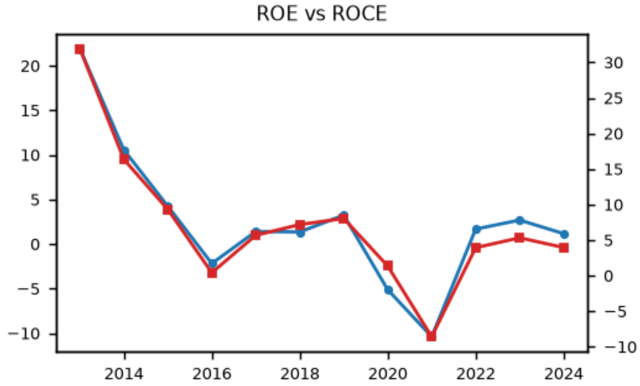
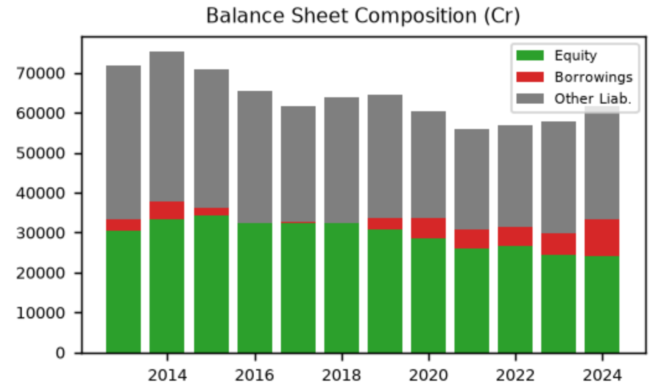
Bharat Heavy Electricals Limited (BHEL)

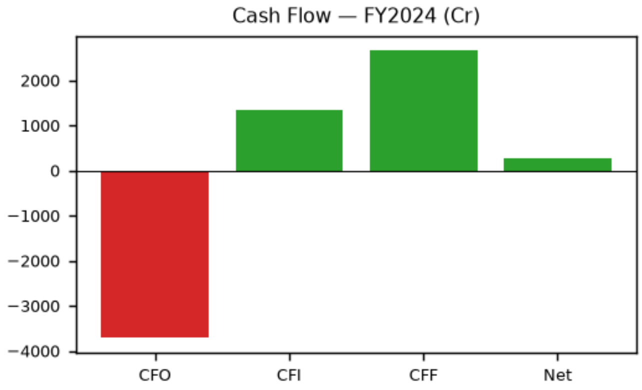
Industrials · Fiscal Year 2024

ROE 1.2%	**ROCE** 4.0%	**Net Profit Margin** 1.2%
D/E 0.4	**Revenue CAGR 5yr** -4.7%	**FCF (Cr)** -2,382









Pros

• Consistently high return on equity above 20% demonstrates exceptional capital efficiency

Cons

• Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
• Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
• Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
• Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Distress Signal